FINS3616 International Business Finance

Term 2, 2026

Week 3 *Reading Guide & Tutorial Questions*

Chapter 4: Parity Conditions: Fisher Effect, Interest Rate Parity, and Currency Forecasting

Week 3 Readings (Shapiro)

Chapter 4 – *Parity Conditions in International Finance and Currency Forecasting*

4.3 The Fisher Effect

4.4 The International Fisher Effect

4.5 Interest Rate Parity Theory

4.6 The Relationship Between the Forward Rate and the Future Spot Rate

4.7 Currency Forecasting

Tutorial Questions

Chapter 4:

Conceptual Question 10

Fisher Effect: Problems 3, 5

Forward Premiums/Discounts: Problems 6, 10, 11

Interest Rate Parity: Problems 14(a+b), 15

Chapter 4, Question 10

11. In early 1990, Japanese and German interest rates rose while U.S. rates fell. At the same time, the yen and DM fell against the U.S. dollar. What might explain the divergent trends in interest rates?

Chapter 4, Problem 3

3. If expected inflation is 100 percent and the real required return is 5 percent, what will the nominal interest rate be according to the Fisher effect?

Chapter 4, Problem 5

5. In July, the one year interest rate is 12% on British pounds and 9% on U.S. dollars.

a. If the current exchange rate is $1.63/GBP, what is the expected future exchange rate in one year?

b. Suppose a change in expectations regarding future U.S. inflation causes the expected future spot rate to decline to $1.52/GBP What should happen to the U.S. interest rate?

Chapter 4, Problem 6

6. Suppose that in Japan the interest rate is 8% and inflation is expected to be 3%. Meanwhile, the expected inflation rate in France is 12%, and the English interest rate is 14%. To the nearest whole *number, what is the best estimate of the one year forward exchange premium (discount) at which the pound will be selling relative to the French franc?*

Chapter 4, Problem 10

10. Assume the interest rate is 16 percent on pounds sterling and 7 percent on euros. At the same time, inflation is running at an annual rate of 3 percent in Germany and 9 percent in England.

a. *If the euro is selling at a one-year forward premium of 10 percent against the pound, is there an arbitrage opportunity?*

b. *What is the real interest rate in Germany? in England?*

c. *Suppose that during the year the exchange rate changes from €1.8/£1 to €1.77/£1. What are the real costs to a German company of borrowing pounds?*

d. *What are the real costs to a British firm of borrowing euros?*

Chapter 4, Problem 11

11. Suppose the Eurosterling rate is 15 percent, and the Eurodollar rate is 11.5 percent. What is the forward premium on the dollar? Explain.

Chapter 4, Problem 14

14. *Here are some prices in the international money markets:*

Spot rate	*= $1.46/€*
Forward rate (one year)	*= $1.49/€*
Interest rate (€)	*= 7% per year*
Interest rate ($)	*= 9% per year*

a. *Assuming no transaction costs or taxes exist, do covered arbitrage profits exist in the above situation? Describe the flows.*

b. *Suppose now that transaction costs in the foreign exchange market equal 0.25% per transaction. Do unexploited covered arbitrage profit opportunities still exist?*

Chapter 4, Problem 15

15. Suppose today's exchange rate is $1.55/€. The annualised six-month interest rates on dollars and euros are 6 percent and 3 percent, respectively. The six-month forward rate is $1.5478/€. A foreign exchange advisory service has predicted that the euro will appreciate to $1.5790 within six months. How would you use forward contracts to profit in the above situation?

a. *How would you use money market instruments (borrowing and lending) to profit?*

b. *Which alternatives (forward contracts or money market instruments) would you prefer? Why?*